

HYPE Token DCF Valuation

Quantitative Analysis | January 2026

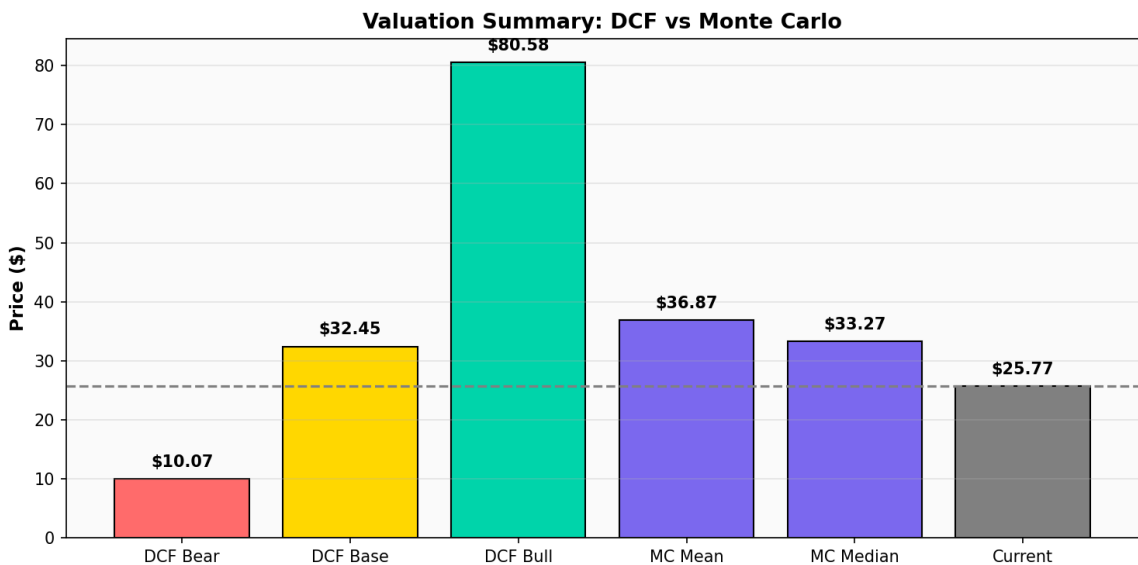
Executive Summary

Hyperliquid (HYPE) trades at \$25.77 with \$9.19B market cap and 10.9x P/S ratio on \$845.6M 2025 revenue. The protocol commands 70% of on-chain perpetual volume with \$3.57B daily volume and \$8.44B open interest. DCF analysis indicates base case fair value of \$32.45 (+26% upside). Monte Carlo simulation (10,000 iterations) yields mean \$36.87, median \$33.27. Bull case: \$80.58 under favorable market conditions.

Current Market Position

Metric	Value	Metric	Value
Price	\$25.77	Market Cap	\$9.19B
FDV	\$24.76B	P/S Ratio	10.9x
2025 Revenue	\$845.6M	Daily Volume	\$3.57B
Open Interest	\$8.44B	TVL	\$4.48B
DAU	41,280	Market Share	70%
Circulating	37.1%	Burned	9.9%

DCF Valuation Results

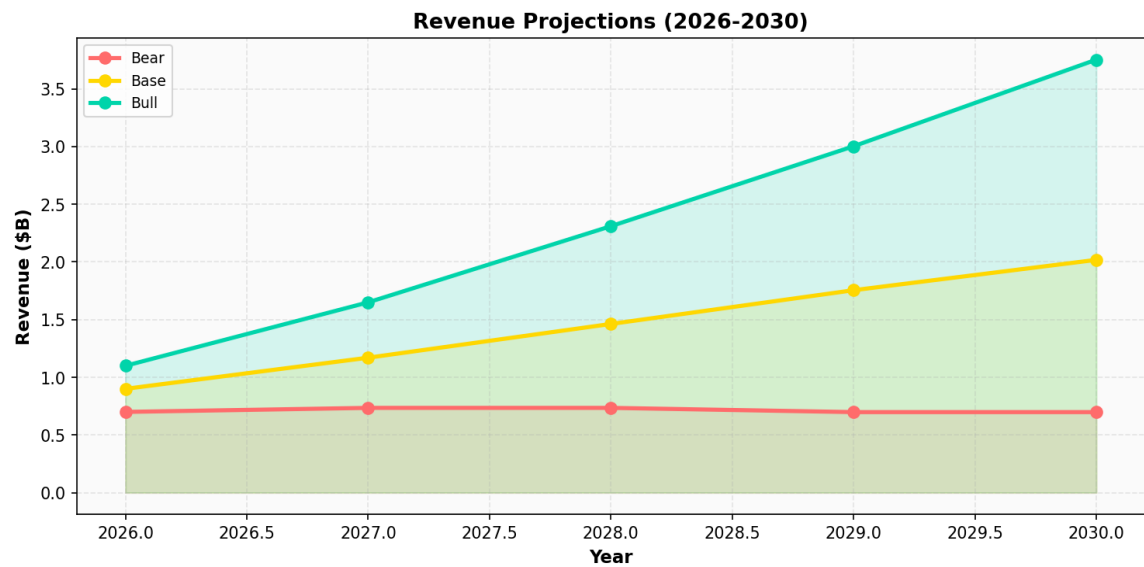


Scenario	Base Revenue	Growth (Y1)	Discount Rate	EV (\$B)	Price
Bear	\$700M	5%	22%	\$3.59	\$10.07
Base	\$900M	30%	18%	\$11.57	\$32.45
Bull	\$1.1B	50%	15%	\$28.73	\$80.58

Methodology

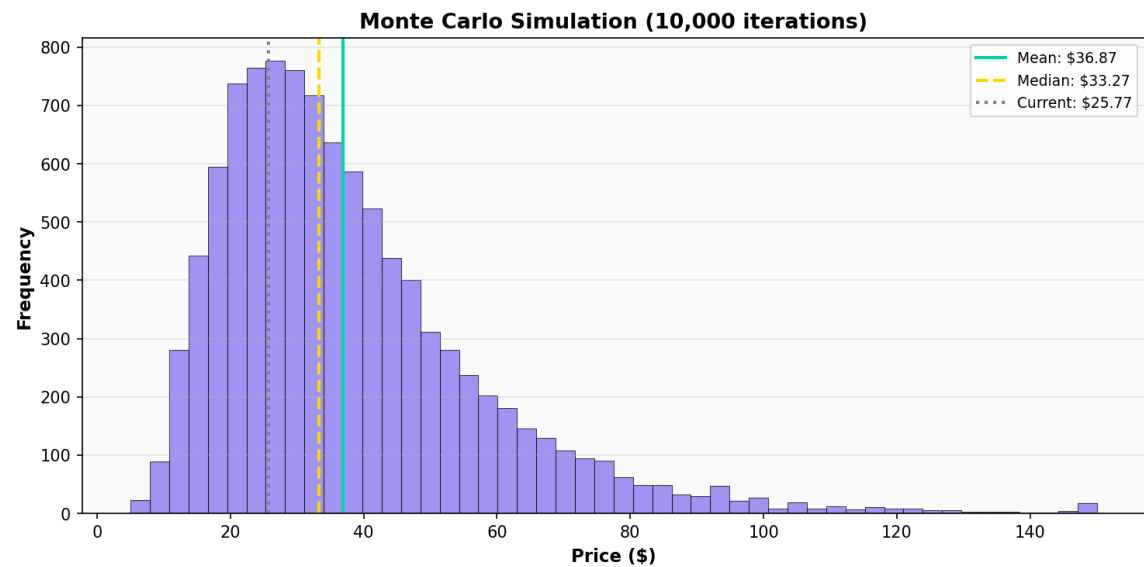
- Full protocol valuation: HYPE valued as equity claim on protocol cash flows, not limited to 7% buyback allocation
- FCF calculation: Revenue x 85% profit margin (minimal operating expenses for on-chain protocol)
- Discount rates: 15-22% (crypto risk premium; comparable to early-stage technology equity)
- Terminal value: Gordon Growth Model with 2-5% perpetual growth depending on scenario
- Deflationary adjustment: 2% annual supply reduction via burns compounds over projection period
- Ecosystem premium: 15% premium for HyperEVM network effects and platform value beyond trading
- Supply dynamics: Token unlock schedule (37% to 100% by 2031) incorporated into per-token value

Revenue Projections



Revenue projections based on three scenarios. Bear case assumes market downturn with 0-5% growth and potential decline. Base case projects 30% Y1 growth declining to 10% Y5, reflecting continued dominance with moderate expansion. Bull case incorporates crypto supercycle dynamics with 50% Y1 growth and sustained high growth through HyperEVM ecosystem adoption.

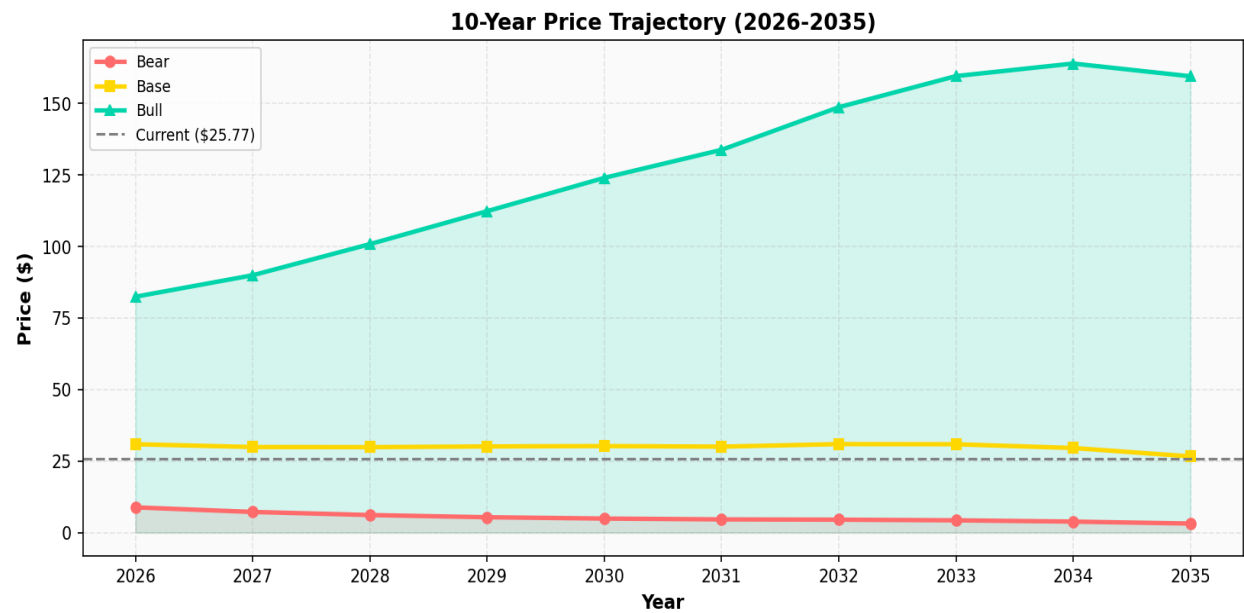
Monte Carlo Simulation



Statistic	Value
Mean	\$36.87
Median	\$33.27
5th Percentile	\$15.20

95th Percentile	\$72.40
P(Above Current)	62%

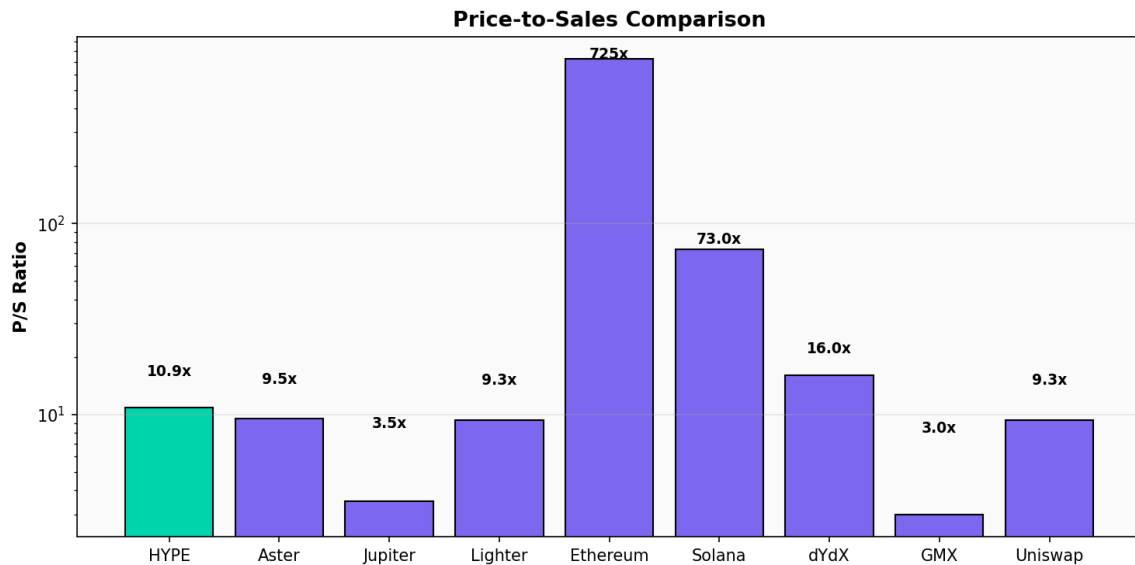
10-Year Price Trajectory



Year	Bear	Base	Bull
2026	\$8.80	\$30.87	\$82.44
2027	\$7.20	\$29.89	\$89.94
2028	\$6.12	\$29.85	\$100.82
2029	\$5.35	\$30.09	\$112.33
2030	\$4.89	\$30.23	\$123.98
2031	\$4.59	\$30.02	\$133.77
2032	\$4.50	\$30.91	\$148.66
2033	\$4.27	\$30.86	\$159.54
2034	\$3.83	\$29.55	\$163.93
2035	\$3.15	\$26.61	\$159.48

Bear case shows value erosion from token unlock dilution outpacing revenue growth. Base case maintains relatively stable valuation with moderate appreciation. Bull case demonstrates significant compounding from high revenue growth, with 2030 target of \$123.98 and 2033 peak of \$163.93.

Comparable Valuation



Protocol	Revenue (\$M)	Market Cap (\$B)	P/S Ratio
HYPE	\$846	\$9.2	10.9x
Aster	\$200	\$1.9	9.5x
Jupiter	\$396	\$1.4	3.5x
Lighter	\$75	\$0.7	9.3x
Ethereum	\$524	\$380.0	725.0x
Solana	\$1300	\$95.0	73.0x
dYdX	\$50	\$0.8	16.0x
GMX	\$100	\$0.3	3.0x
Uniswap	\$700	\$6.5	9.3x

HYPE trades at 10.9x P/S, below dYdX (16x) despite 17x higher revenue. Among perpetual DEX peers, Aster (9.5x), Lighter (9.3x), and Jupiter (3.5x) trade at similar or lower multiples. Aster and Lighter generate \$200M and \$75M revenue respectively, both below HYPE's \$845.6M. Jupiter's \$396M revenue at 3.5x P/S suggests HYPE could trade at lower multiples if market conditions deteriorate. L1 protocols (Ethereum, Solana) trade at significantly higher multiples due to broader ecosystem value capture. As HyperEVM matures, multiple expansion is plausible.

Risk Factors

- Competition: Aster (\$42.88B daily volume), Lighter (\$197B 30-day volume), Jupiter perps, dYdX v4, GMX v2, and CEX improvements may erode market share

- Regulatory: Derivatives regulation in US/EU jurisdictions presents uncertainty
- Smart contract: Novel HyperBFT consensus mechanism lacks long-term track record
- Token unlocks: 63% of supply remains locked; unlock events may create selling pressure
- Market dependency: Revenue correlated to crypto trading activity and bull market conditions
- Concentration: Heavy reliance on BTC/ETH perpetual volume; limited asset diversification

Investment Thesis

- Market dominance: 70% of on-chain perpetual volume with \$3.57B daily volume
- Revenue generation: \$845.6M annual revenue, second only to Solana among blockchains
- Valuation discount: 10.9x P/S vs 16x for dYdX with fraction of revenue
- Deflationary mechanics: 2% annual supply reduction via buybacks and burns
- Ecosystem expansion: HyperEVM enables full DeFi stack beyond trading primitives
- Technical moat: Sub-second finality with 200K orders/second matches CEX performance

Conclusion

DCF analysis indicates HYPE is undervalued at current levels. Base case fair value: \$32.45 (+26% upside). Bull case: \$80.58 (+213%). Monte Carlo simulation confirms mean value of \$36.87 with 62% probability above current price. The protocol's dominant market position, strong revenue generation, and deflationary tokenomics support higher valuation multiples. Primary catalysts: HyperEVM ecosystem growth, spot trading expansion, and potential fee switch governance changes. Risk-adjusted return profile favors accumulation.

Full analysis and interactive model: <https://github.com/epistetechnician/hype-DCF>

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